Docket No. 18-0918

In The

Supreme Court of the United States

October Term, 2018

IN RE BACKSTREETS PLOWING, INC.,
Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner,

v.

MILTON WEINBERG,
Respondent.

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

BRIEF FOR PETITIONER

Team Number P. 53
Counsel for Petitioner

QUESTIONS PRESENTED

1. Whether 11 U.S.C. section 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?
2. Whether 11 U.S.C. section 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

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OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit entered an order in favor of the secured creditor Milton Weinberg ("Weinberg"). R. at 3. The Bankruptcy Court held that the secured creditor's retention of snow plow trucks, that the secured creditor legally repossessed from the debtor prior to the petition date, did not violate the automatic stay set forth in section 362(a)(3) of the Bankruptcy Code. R. at 3. Additionally, the Bankruptcy Court and the Bankruptcy Appellate Panel held that the secured creditor was entitled to an administrative expense for making a substantial contribution to the estate in the chapter 7 case. R. at 3.

Petitioner, Steven Vin Sant, a duly-appointed chapter 7 trustee ("Trustee"), objected and argued that the creditor's passive retention of collateral violated the automatic stay, and that administrative expenses for substantial contributions are not permissible in chapter 7 cases. R. at 8, 9. The Bankruptcy Appellate Panel for the Thirteenth Circuit denied the Trustee's objections and ruled in favor of the creditor, and determined there was no automatic stay violation, and that the granting of an administrative expense to the creditor was appropriate. R. at 8.

The Trustee appealed to the United States Court of Appeals for the Thirteenth Circuit, but the bankruptcy court's ruling was again affirmed. R. at 3. The Supreme Court of the United States then granted the Trustee's petition for a writ of certiorari.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS INVOLVED

The relevant statutory provisions involved in this case are listed below and reproduced in Appendices A through G.

STATEMENT OF FACTS

Backstreets Plowing, Inc. (the "Debtor") operated a seasonal snow plow business. R. at 3. In the spring of 2015, in order for the business to remain competitive and to compete for a valuable plowing contract, the Debtor's sole shareholder, Christopher Clemons ("Clemons") saw the need to purchase new, more fuel-efficient snow plow trucks. R. at 3. In order to buy the trucks, Weinberg loaned $450,000 to the Debtor, and in exchange, the Debtor granted Weinberg a security interest in the trucks. R. at 4. Clemons also personally guaranteed the loan. R. at 4.

In August 2015, the Debtor purchased the new snow plow trucks. R. at 4. Shortly after, the Debtor submitted bids for a plowing contract with the City of Badlands and was awarded the contract. R. at 4.

Soon after the contract was awarded, Clemons and Weinberg had a "falling out." R. at 4. Clemons did not make his December 2015 loan payment to Weinberg. R. at 5. After having difficulty connecting with the debtor, in April 2016, Weinberg sued Clemons on his personal guarantee. R. at 5. In October 2016, Weinberg obtained a default judgment against the Debtor and Clemons, jointly and severally, for $450,000. R. at 5.

In the winter of 2016-2017, the Debtor's business suffered substantial losses due to a brutal winter with severe snow storms. R. at 5. The Debtor was unable to make its payments. R. at 6. Thus, in January 2017, Weinberg hired E Street Auto Recovery, a repossession company, to retrieve the snow plow trucks. R. at 6. E Street repossessed the trucks and delivered them to a warehouse owned by Weinberg. R. at 6.

Without the trucks, the Debtor was unable to fulfill its plowing contract with the City of Badlands. R. at 6. On February 4, 2017, the Debtor filed a chapter 11 petition. R. at 6. The Debtor's attorneys demanded that Weinberg return the snow plow trucks immediately. R. at 6.

However, Weinberg refused to return the trucks based on his misbelief that the Debtor had to bring a turnover action, in which Weinberg could then demand adequate protection of his interest in the snow plow trucks. R. at 6. The Debtor filed a motion asking the bankruptcy court to determine that Weinberg's continued retention of the snow plow trucks violated the automatic stay under section 362(a)(3). R. at 6.

The bankruptcy court held that Weinberg did not violate the stay in that the retention of property was not an "act" under section 362(a)(3). R. at 6. After the Debtor filed an appeal in March 2017, Clemons was informed the Badlands city council would not be offering a new contract, and therefore, the Debtor converted the chapter 11 case to a chapter 7 case. R. at 7. On April 13, 2017, the Trustee was appointed to administer the Debtor's estate. R. at 7.

Soon after, Weinberg hired a collection law firm to pursue collection efforts against Clemons on the judgment related to his personal guarantee. R. at 7. Weinberg discovered that beginning in May 2016, the Debtor made transfers of $100,000 in cash directly to a bank account in the name of Clemons' daughter. R. at 7. Weinberg provided the Trustee with documentation to establish that the transfers were avoidable as fraudulent transfers. R. at 7. A settlement was reached and Clemons daughter agreed to pay $75,000 to the estate in the satisfaction of all claims. R. at 7.

Throughout the process, Weinberg incurred legal fees of $25,000 for investigating the transfers. R. at 7. Weinberg filed a motion seeking a substantial contribution administrative expense pursuant to section 503(b). R. at 8. The Trustee opposed the motion pursuant to section 503(b)(3)(D), which expressly limits substantial contribution administrative expenses to chapter 9 and chapter 11 cases. R. at 8. While the bankruptcy court allowed Weinberg an administrative expense, the Trustee appealed. R. at 8.

In September 2017, Tenth Avenue offered to purchase substantially all of the Debtor's assets, including the snow plow trucks, contingent on the Trustee immediately obtaining possession of the snow plow trucks that were repossessed by Weinberg. R. at 8. The Trustee held firm in his belief that Weinberg violated the automatic stay, but when it became clear that the Trustee was unable to convey title to the snow plow trucks, Tenth Avenue withdrew its purchase offer. R. at 8. Later, Stone Pony offered to purchase the Debtor's assets, excluding the snow plow trucks, for $100,000 less than the original deal with Tenth Avenue. R. at 8. The Trustee accepted this offer and the bankruptcy court approved the sale in February 2018. R. at 9. Even with the closing of the sale, the Trustee continued forward with his appeal of bankruptcy court's decision. R. at 9.

The United States Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit both ruled in favor of Weinberg, concluding that (1) Weinberg's passive retention of snow plow trucks did not violate the automatic stay under section 362(a)(3), and (2) Weinberg was entitled to a substantial contribution administrative expense under section 503(b). R. at 3. The Thirteenth Circuit affirmed. R. at 3.

Here, the Trustee asks the Supreme Court to review the decisions of the lower courts, arguing that passive retention of property of the estate violates section 362(a)(3), and that section 503(b)(3)(D) precludes the allowance of an administrative expense for making a substantial contribution in a chapter 7 case. R. at 22, 27.

SUMMARY OF THE ARGUMENT

First, the Trustee contends that Weinberg violated the automatic stay under section 362(a)(3) when Weinberg retained possession of the snow plow trucks after the petition was filed. The relevant portion of section 362(a)(3) states that an automatic stay is imposed upon "any act

to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." The majority of courts have concluded that the passive retention of property is an "act" and an "exercise of control" over the property. The plain language of the statute makes clear that Weinberg's holding of the trucks, and not turning them over, is an act to exercise control over property of the estate. Additionally, from a policy perspective, allowing passive retention of the collateral would hinder the Debtor and the estate from using that property in the reorganization process. In other words, to say that passive retention is not a violation of the automatic stay would simply cause unnecessary delay in reorganizing and would go against the efficiency of the bankruptcy process.

Second, the Trustee contends that section 503(b) does not allow a court to grant an administrative expense for a substantial contribution in a chapter 7 case. Looking first to the text of the statute, pursuant to section 503(b), an administrative expense for a substantial contribution is not permitted in a chapter 7 case. Section 503(b)(3)(D) expressly allows an administrative expense for a creditor who makes a substantial contribution in a chapter 9 or 11 case, but does not expressly do so for an administrative expense in a chapter 7 case. The majority of courts that have considered this issue have read section 503(b)(3)(D) narrowly to prohibit administrative expenses for substantial contributions in chapter 7 cases. Additionally, the legislative history of section 503(b)(3)(D) reveals Congress' intent to purposely limit the scope of section 503(b)(3)(D) to preclude substantial contribution administrative expenses in chapter 7 cases. Here, when examining the language of the statute, the case law of the majority of courts, and the legislative history behind section 503(b)(3)(D), the court cannot grant Weinberg an administrative expense of $25,000 for making a substantial contribution. Thus, the bankruptcy court and the Thirteenth Circuit Court of Appeals erred in allowing Weinberg an administrative expense.

For these reasons, the opinions of the lower courts should be reversed, and this case should be remanded.

ARGUMENT

There are two legal questions that are raised by the Trustee. This Court reviews these matters under *de novo* review. *Texas v. Soileau (In re Soileau)*, 488 F.3d 302, 305 (5th Cir. 2007). The first issue is whether section 362(a)(3) was violated when Weinberg passively retained possession of collateral that he repossessed from the Debtor prior to the petition date. The second issue was whether section 503(b) permits a court to grant Weinberg an administration expense for a substantial contribution in a chapter 7 case.

I. SECTION 362(a)(3) OF THE BANKRUPTCY CODE IS VIOLATED WHEN A SECURED CREDITOR PASSIVELY RETAINS POSSESSION OF PROPERTY OF THE ESTATE.

The Thirteenth Circuit Court of Appeals erred when it affirmed the bankruptcy court's holding that Weinberg's retention of snow plow trucks, that he lawfully repossessed prior to the bankruptcy filing, did not violate the automatic stay. R. at 3.

A. The plain language of section 362(a)(3) suggests that passive retention of property of the estate is a violation of the automatic stay.

The plain language of section 362(a)(3) specifically "act to obtain possession" and "exercise control over" are applicable to the actions of Weinberg. In statutory interpretation cases, the first step is to look at the statutory language. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240-41 (1989). When interpreting a statute, "as long as the statutory scheme is coherent and consistent, there generally is no need for a court to inquire beyond the plain language of the statute." *Id.* Looking to the statutory language here, "act" is defined as "the process of doing something." Webster's New World College Dictionary (4th ed. 2002). Control is

defined as, "to exercise authority over; direct; command." *Id.* There is no ambiguity in the plain language of this statute, and therefore there is no room for judicial interpretation.

Here, Weinberg did act and obtain possession and control over the snow plows. R. at 8. Although he did not personally go and repossess the snow plows, he did so by hiring a company to take control and put them in his possession. R. at 6. Weinberg maintained control over the snow plows at the time the Debtor filed a chapter 11 petition. R. at 6. Weinberg actively refused to turn over the trucks, and the Debtor had no way to gain access to the property. R. at 6. This is a clear indication that Weinberg did have control, and acted to obtain possession of the trucks. The majority of circuits agree that the plain language of section 362(a)(3) pertains to the passive retention of property of the estate. Specifically, under section 362, filing a bankruptcy petition automatically affects a stay of "any act to obtain possession of property of the estate . . . or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3).

Two circuits that represent the majority view that passive retention of property constitutes an automatic stay violation are the Second Circuit and the Seventh Circuit. In *Weber*, a Second Circuit case, the appellee repossessed a vehicle in possession by the appellant pursuant to a loan agreement, before the appellant filed for bankruptcy. *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 74 (2d Cir. 2013). The appellant then gave the appellee written notice of the bankruptcy filing and invoked the stay under section 362 to return the vehicle. *Id.* The appellee refused to return the vehicle. *Id.* The court noted that "… under section 362(k), a debtor "injured by any willful violation of a stay provided by [section 362] shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages."" *Id.* at 76 (citing 11 U.S.C. 362(k)(1)). Additionally, the court emphasized the plain meaning of "control"

as “to exercise authority over; direct; command.” Webster’s New World College Dictionary (4th ed. 2002).

In *Thompson*, a Seventh Circuit case, the debtor’s vehicle was repossessed after failure to make car payments. *Thompson v. Gen. Motors Acceptance Corp., LLC,* 566 F.3d 699, 700 (7th Cir. 2009). The creditor refused to return the vehicle to the estate and the debtor moved for sanctions under section 362(a)(3) claiming that the creditor violated the automatic stay. *Id.* at 701. The court there concluded that “to hold that "exercising control" over an asset encompasses only selling or otherwise destroying the asset would not be logical given the central purpose of reorganization bankruptcy.” *Id.* at 702. The court also noted that keeping the asset, refusing to return the asset, and denying the estate the asset, is all encompassing of the word “control.” *Id.* Additionally, the court points to a Sixth Circuit case that has gone as far as saying “[w]ithholding possession of property from a bankruptcy estate is the essence of ‘exercising control’ over possession” because it prevents the debtor from achieving beneficial use of the estate's property. *Id.* at 703, (citing *TranSouth Fin. Corp. v. Sharon* (*In re Sharon)*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999)).

Like in *Weber* and *Thompson*, here, Weinberg did maintain control over the snow plows in violation of the automatic stay. R. at 6. Weinberg acted, he took possession of the snow plows when he hired E Street to take the trucks, and delivered them to his warehouse, where they remain to this day. R. at 6. There is no way for the Trustee to gain possession of the property of the estate without Weinberg turning his over. Weinberg exercised authority over the snow plows as is shown through his actions of withholding them and refusing to turn the trucks over. R. at 6.

In addition to section 362(a)(3), another statute that must be considered is section 542(a). A reading of section 542(a) indicates that turnover of a seized asset is compulsory. This

provision states that a creditor in possession of an asset belonging to the bankruptcy estate "shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). The majority of appellate courts have found that section 542(a) works with the stay provision in section 362(a) "to draw back into the estate a right of possession that is claimed by a lien creditor pursuant to a pre-petition seizure; the Code then substitutes 'adequate protection' for possession as one of the lien creditor's rights in the bankruptcy case." *In re Sharon*, 234 B.R. at 683.

Section 542(a) required Weinberg to turn over the snow plows because they were property of the estate without the requirement of notice and a hearing. Section 542(a) states:

> (a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

11 U.S.C. § 542(a). There is no express requirement that notice and a hearing be required to turn over property of the estate. Section 542 requires that any entity in possession of property of the estate deliver it to the trustees, without condition or any further action: the provision is "self-executing." 5 Collier on Bankruptcy § 542.02 (16th ed. 2012) ("By its express terms, [section 542] is self-executing, and does not require that the trustee take any action or commence a proceeding or obtain a court order to compel the turnover."). Additionally, *Whiting Pools* teaches that the filing of a petition will generally transform a debtor's equitable interest into a bankruptcy estate's possessory right in the vehicle. *In re Weber*, 719 F.3d at 78.

In *Whiting Pools*, the IRS seized the respondent's property to satisfy a tax lien. *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 199 (1983). The IRS seized property including

equipment, vehicles, inventory, and office supplies. *Id.* Once the respondent filed a petition to reorganize under chapter 11, the United States intended to sell the property under section 362(a) and the respondent counterclaimed the IRS for an order to have the IRS return the seized property over to the bankruptcy estate under section 542(a). *Id.* at 201. This Court stated, "the reorganization effort would have small chance of success, however, if property essential to running the business were excluded from the estate." *Id.* at 203. *See* 6 J. Moore & L. King, Collier on Bankruptcy para. 3.05, p. 431 (14th ed. 1978). For debtor's to successfully reorganize their business, all the debtor's property must be included in the estate. *Whiting Pools*, 462 U.S. at 203. This Court concluded that property that is seized by a creditor that is the debtor's, is property of the estate for purposes of reorganization. *Id.* at 209.

Here, the Trustee was attempting to maximize the value for the Debtor's creditors. The Trustee needed Weinberg to turn over the snow plows as required under section 542 in order to successfully reorganize. Weinberg did act through passive retention of the snow plow trucks and violated the automatic stay. R. at 6. Weinberg should have returned the trucks and after that time, if he felt he was not given adequate protection, he should have sought relief though the court. In this case, based on the plain language of the statute, and the majority view of courts, Weinberg violated the automatic stay.

B. By allowing creditors to passively retain property of the estate, the purpose of the automatic stay is rendered meaningless.

The general purpose of the automatic stay is to give debtors breathing room and stop all collection actions of creditors. The stay is put into effect immediately after the filing of a bankruptcy petition. 11 U.S.C. 362(a). The legislative history of the automatic stay illustrates the importance of the stay:

> The automatic stay is one of the fundamental debtor protections provided by the bankruptcy laws. It gives the debtor a breathing spell from his creditors. It stops all collection efforts, all harassment, and all foreclosure actions. It permits the debtor to attempt a repayment or reorganization plan, or simply to be relieved of the financial pressures that drove him into bankruptcy.

H.R. Rep. No. 595, 95th Cong., 1st Sess. 340-42 (1977); S. Rep. No. 989, 95th Cong., 2d Sess. 54-55 (1978); *reprinted in* 1978 U.S. Code Cong. & Admin. News 5787 at 5840, 6296-97.

Because the automatic stay stops all claims or acts to control property of the estate, the debtor is afforded breathing room to attempt to reorganize or in the case of a liquidation, to gather up all of its assets that are non-exempt to pay creditors. The stay is meant to alleviate the financial strains the debtor experienced pre-petition. *Knaus v. Concordia Lumber Co., Inc. (In re Knaus),* 889 F.2d 773, 775 (8th Cir. 1989). Requiring debtors to actively seek return of their property from creditors post-petition would create an added financial burden to debtors. The legislative intent behind the automatic stay is at odds with the lower court's decision, which in essence, would require debtors to file turnover actions. Requiring debtors to file turnover actions reduces the ability to reorganize, or in a liquidation case, it diminishes the amount of money to repay creditors, by requiring an administrative expense to the Trustee to pursue the action.

The requirement of section 542(a) which creates a duty for entities in possession of estate property gives effect to the automatic stay. The affirmative duty of creditors under section 542(a) effectuates "the purpose of the automatic stay, the onus to return estate property is placed on the possessor; it does not fall on the debtor to pursue the possessor." *State* of *Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.),* 98 F.3d 1147, 1151 (9th Cir. 1996) (citing *In re Abrams*, 127 B.R. 239, 243 (B.A.P. 9th Cir. 1991)). Essentially, requiring debtors to seek out creditors that have possession of property that belongs to the estate would create an unreasonable cost for debtors or the trustee of the estate. This concept is summed up well in *Knaus*:

> The principle is simply this: that a person holding property of a debtor who files bankruptcy proceedings becomes obligated, upon discovering the existence of the bankruptcy proceedings, to return that property to the debtor (in chapter 11 or 13 proceedings) or his trustee (in chapter 7 proceedings). Otherwise, if persons who could make no substantial adverse claim to a debtor's property in their possession could, without cost to themselves, compel the debtor or his trustee to bring suit as a prerequisite to returning the property, the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced. The general creditors, for whose benefit the return of property is sought, would have needlessly to bear the cost of its return. And those who unjustly retain possession of such property might do so with impunity.

In re Knaus, 889 F.2d at 775.

Following the logic of the majority opinion of the Thirteenth Circuit, the Trustee would be required to file an adversary action against Weinberg in order to obtain possession of the collateral. This is an unnecessary expense for the bankruptcy estate to incur and diminishes the value of the estate by creating an administrative expense for pursuing claims against creditors wrongfully in possession of estate property. 11 U.S.C. 503(b). The Trustee's cost to pursue an action against Weinberg is wholly unreasonable because Weinberg, after notice of the bankruptcy proceeding, should have turned over the collateral to the estate. By turning over the collateral at the outset of the bankruptcy case in accordance with provisions in the code, trustees are able to pay creditors the value of their claims. Allowing creditors to act in their own self-interest undermines the bankruptcy code to its core.

In the event that creditors are concerned about diminishing the value of their collateral through the bankruptcy proceeding, the code provides, after notice and a hearing, relief from the stay "for cause, including lack of adequate protection." 11 U.S.C. 362(d)(1). Congress would not provide provisions for creditors to seek relief from the stay for lack of adequate protection if creditors could act on their own accord, bypassing the bankruptcy court and keeping possession

of estate property once lawfully repossessed. To allow creditors to make their own decisions as the lower court advocates undermines the provisions which empower creditors under section 362.

Here, had Weinberg turned over the snow plows to the estate upon notice of commencement of the case, Weinberg would have had the ability to seek adequate protection. The bankruptcy code provisions which allow creditors to seek adequate protection would not be written into the code if creditors could exercise control over estate property out of their own free will. The actions of Weinberg and the view of the lower court's majority opinion do not align squarely with the purpose of section 362(a), section 542(a), and the overall thrust and purpose of the bankruptcy code.

There is no legislative history reported as to why the language was expanded in section 362(a)(3) as part of the Bankruptcy Amendments and Federal Judgeship, and "Congress did not provide an explanation of the Amendment." *In re Del Mission Ltd.*, 98 F.3d at 1151. The only logical explanation is that by expanding the language to include an act to exercise control over property of the estate, was to enforce the automatic stay against property not in the debtor's' possession at the time of filing. By including this language, it appears that Congress contemplated situations in which a secured creditor could obtain property of the debtor upon default pre-petition. Exercising control pre-petition suggests that creditors engaged in a repossession action prior to debtor filing for bankruptcy.

Thus, overall, policy considerations and the legislative history behind section 362(a)(3) support the view taken by the majority of courts that passive retention of estate property by a creditor violates the automatic stay.

II. SECTION 503(b)(3)(D) OF THE BANKRUPTCY CODE PRECLUDES A COURT FROM GRANTING AN ADMINISTRATIVE EXPENSE TO A CREDITOR FOR A SUBSTANTIAL CONTRIBUTION IN A CHAPTER 7 CASE.

The Thirteenth Circuit Court of Appeals incorrectly affirmed the bankruptcy court when it determined that the creditor should be allowed a substantial contribution administrative expense. R. at 3. The narrow language of section 503(b)(3)(D) expressly authorizes administrative expenses in proceedings under chapter 9 and 11, but does not mention chapter 7. *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC*), 802 F.3d 810, 820-21 (6th Cir 2015) (O'Malley, J., dissenting). The vast majority of courts that have addressed this issue have held that substantial contributions are not administrative expenses under section 503(b). *Id.* at 822-823. Additionally, the legislative history suggests that Congress intended section 503(b)(3)(D)'s scope to be limited. *Id*. at 821.

A. The plain meaning of Bankruptcy Code section 503(b)(3)(D) precludes a court from allowing a substantial contribution administrative expense in a chapter 7 case.

The bankruptcy court and the Thirteenth Circuit Court of Appeals erred in granting Weinberg an administrative expense for making a substantial contribution to the bankruptcy estate, as it disregarded the plain meaning of the relevant statutory language set out in the Bankruptcy Code. The Bankruptcy Code section that is of importance here is section 503 entitled "[a]llowance of administrative expenses." In particular, the issue centers around the statutory construction of section 503(b)(3)(D) and whether a substantial contribution administrative expense is allowed in a chapter 7 case. In order to resolve a dispute over the meaning of the Bankruptcy Code, the language of the statute must first be examined. If the language of the statute is clear, then the Court must look no further in that Congress "says in a statute what it means and means in a statute what it says." *In re Connolly N. Am.*, 802 F.3d at 815, citing *Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000).

Looking at the statute, section 503(b) contains a list of specific categories of expenses that shall be allowed as administrative expenses. 11 U.S.C. § 503(b). Additionally, section 503(b)(3)(D) states that "[a]fter notice and a hearing, there shall be allowed administrative expenses … including – the actual, necessary expenses … incurred by… a creditor … in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D). The statute does not make any mention to chapter 7 cases.

When interpreting the relevant language of section 503(b), the Thirteenth Circuit Court of Appeals held "that a creditor may be awarded an administrative expense under section 503(b) for a substantial contribution made in a chapter 7 case, notwithstanding the express restriction in section 503(b)(3)(D) that confines such administrative expenses to chapter 9 and 11." R. at 27-28. The court reasoned that "[t]he word "including" in the prefatory language of section 503(b) must be given meaning and the only way to do that is to acknowledge that administrative expenses other than the statutory examples are permissible." R. at 18. However, when applying section 503(b), the Thirteenth Circuit Court of Appeals' holding overly stretches the plain meaning of section 503(b)(3)(d).

This Court has stated that "when the statute's language is plain, the sole function of the courts – at least where the disposition required by the text is not absurd – is to enforce it according to its terms." *Lamie v. U.S. Trustee,* 540 U.S. 526, 534 (2004). Section 503(b) uses the term "including" to illustrate examples of allowable administrative expenses. However, section 503(b)(3) does not use the term "including" and thus, as the lower court's dissenting opinion states, the omission of the term "including" "giv[es] rise to the inference that the list of administrative expenses allowable under section 503(b)(3) is exhaustive, at least with respect to those categories of administrative expenses set forth in that subsection." R. at 29.

In analyzing the terms of the statute, the statutory interpretive canon *expressio unius est exclusio alterius* comes into play. *Expressio unius est exclusio alterius* can be applied in circumstances that support "a sensible inference that a term left out must have been meant to be excluded." *See N.L.R.B. v. SW Gen., Inc.*, 137 S. Ct. 929, 940 (2017). *Expressio unius est exclusio alterius* means that "expressing one item of [an] associated group or series excludes another left unmentioned." *Id.* (quoting *Chevron U.S.A. Inc. v. Echazabal*, 536 U.S. 73, 80 (2002)).

"When a statute sets forth a series of items included under a general rule, and does not use the term "including," the canon of *expressio unius est exclusio alterius* applies, under which a court infers an intention to restrict the statute's application to the specific listed examples." *See Mosier v. Kupetz* (*In re United Educ. & Software*), 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005). Here, *expressio unius est exclusio alterius* applies as section 503(b)(3)(D) excludes the term "including" while laying out items in a general rule.

Section 503(b)(3)(D) limits the circumstances under which a substantial contribution administrative expense can be allowed. R. at 30. Section 503(b)(3)(D) states that administrative expenses shall be allowed for the actual, necessary expenses incurred by a creditor "in making a substantial contribution in a case under chapter 9 or 11." 11 U.S.C. § 503(b)(3)(D). The phrase "in a case under chapter 9 or 11" leaves out "chapter 7." Applying the precept *expressio unius est exclusio alterius*, a sensible inference can be made that the term "chapter 7" must have been meant to be excluded. In other words, because section 503(b)(3)(D) specifically refers to "chapter 9 or 11," then the left-out term "chapter 7" is excluded. The inclusion of "under chapter 9 or 11" language in section 503(b)(3)(D) negates the meaning of "including" in the introductory provision of section 503(b). *See In re Connolly N. Am.*, 802 F.3d at 815.

Also, when looking at the text of the statute, this Court has endorsed the "well-established canon . . . of statutory construction that the specific governs the general." *Id*. at 814 (quoting *Morales v. Trans World Airlines, Inc.* 504 U.S. 374, 384 (1992)). Here, the specific subsection 503(b)(3)(D) expressly authorizes administrative expenses in chapter 9 and 11 cases. *In re Connolly N. Am.*, 802 F.3d at 818. This specific subsection cannot be replaced by simply relying on the general subsection 503(b)'s prefatory decree about the allowance of administrative expenses. *Id*. Overall, the text of the statute limits the substantial contribution administrative expenses to chapter 9 and chapter 11 cases.

B. The majority of courts have held that section 503(b)(3)(D) prohibits a court from granting an administrative expense for a substantial contribution in a chapter 7 case.

The Thirteenth Circuit Court of Appeals erred when it failed to follow the majority of courts which have held that a party is not allowed an administrative expense in a chapter 7 case for making a substantial contribution. *See In re Health Trio, Inc.*, 584 B.R. 342, 352 (Bankr. D. Colo. 2018). The majority of courts, including the Third Circuit, that have considered whether a party can be awarded an administrative expense claim, if such a party makes a substantial contribution in a chapter 7 case have read section 503(b)(3)(D) narrowly and have rejected a party's claim for a substantial contribution administrative expense in a chapter 7 case. *E.g.*, *Id*., *Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d Cir. 1994). In fact, "86% of bankruptcy or district courts [have] denied recovery of a substantial contribution claim in a chapter 7 case and only 14% allowed recovery of a substantial contribution claim in a chapter 7 case." *In re Connolly N. Am., LLC*, 802 F.3d at 822 (O'Malley, J., dissenting).

In reaching its conclusion to deny recovery of a substantial contribution claim in a chapter 7 case, the lower court examined the statutory language to determine,

> whether the inclusion of the "substantial contribution in a case under chapter 9 or 11" language in § 503(b)(3)(D), negates the meaning of "including" in the

> introductory paragraph of § 503(b), such that the bankruptcy court does not have the authority to allow an administrative claim in a chapter 7 case to a creditor who makes a substantial contribution to the bankruptcy estate.

In re Health Trio, Inc., 584 B.R. at 352. The majority of courts rely "on the axiom that administrative expenses must be narrowly construed since they reduce the funds available for creditors and other parties." *Id*. Additionally, the majority of courts read "the plain language of the statute and the principle of statutory construction that "Congress says in a statute what it means and means in a statute what it says there." *See Id*.

The majority of courts believe that while the introductory paragraph of section 503(b) uses the word "including," that word is not used in § 503(b)(3)(D). *See Id.* Conversely, "the minority's reading of the statute to include a substantial contribution claim in a chapter 7 case would write the specific language of § 503(b)(3)(D) out of the statute and render it superfluous." *See Id*. The majority of courts apply the doctrine of *expressio unius est exclusio alterius* to assert that including chapters 9 and 11 means the specific exclusion of chapter 7. *See, e.g., In re United Educ. & Software*, 2005 WL 6960237 at *7 (9th Cir. BAP 2005).

In *Lebron*, a Third Circuit case, a creditor applied for reimbursement of the expenses that he had incurred in connection with his participation in chapter 11 and chapter 7 proceedings. 27 F.3d at 941. That court was faced with determining whether expenses incurred after conversion of a case to chapter 7 are entitled to reimbursement. *Id*. at 945. The court there held that the expenses that incurred were not recoverable. *Id*. That court stated that it could not "see how expenses incurred after the conversion can be said to have made a substantial contribution in the proceedings under chapter 11." *Id.*

Then, in *Lloyd*, customers of a failed securities dealer sought recovery of expenses in a chapter 7 proceeding. *In re Lloyd Sec., Inc.*, 75 F.3d 853, 855 (3d Cir. 1996). The court there

held that customer expenses were not recoverable in a chapter 7 proceeding as section 503(b)(3)(D), by its terms, applies only to chapter 9 and 11 cases. *Id.* at 857.

Unlike the majority of courts, the Sixth Circuit has addressed this issue and has taken a broader reading of this statute. *In re Health Trio, Inc.*, 584 B.R. at 351. The Thirteenth Circuit Court of Appeals erred by going against the majority view and instead following the "more flexible, totality of the circumstances approach" adopted by the Sixth Circuit in *Connolly*. R. at 17. The Sixth Circuit's decision, which represents the minority view and is laid out in *Connolly*, is not compelling.

In *Connolly*, an unsecured creditor applied for reimbursement of attorney fees and costs under section 503(b). 802 F.3d at 814. That court was faced with determining whether the statutory construction of section 503(b)(3)(D) was a per-se bar to the reimbursement of administrative expenses under section 503(b) in a chapter 7 case. *Id*. That court held that section 503(b) allows for reimbursement in chapter 7 cases. *Id.* at 815. That court reasoned that by using the term "including" in section 503(b), "Congress built a mechanism into section 503(b) for bankruptcy courts to reimburse expenses not specifically mentioned in section 503(b)'s subsections." *Id*. at 816. Additionally, that court reasoned that in chapter 9 and 11, a creditor will spend its own resources to benefit the estate, whereas in a typical chapter 11 case, the U.S. Trustee fulfills this role. *Id*. at 817. Further, the court there pointed out that Congress could have stated that section 503(b) excludes reimbursement in chapter 7 cases if Congress had wanted to. *Id*. at 818.

There are several flaws with the majority view in *Connolly*. First, instead of strictly construing claims for administrative expenses under section 503(b), *Connolly* gives section 503(b) a "sweeping reach." *In re Connolly N. Am., LLC*, 802 F.3d at 820 (O'Malley, J.,

dissenting). It does so despite section 503(b)(3)(D) not expressly authorizing reimbursements in chapter 7 proceedings. *Id*. at 821. The majority's interpretation of section 503(b) makes section 503(b)(3)(D) "superfluous." *Id*.

> If substantial contributions in a Chapter 7 proceeding can be considered an administrative expense under the broad "including" provision of section 503(b), then there is no reason why substantial contributions in Chapter 9 and 11 proceedings could not also have been considered administrative expenses under that same language, making section 503(b)(3)(D) unnecessary.

Id.

Overall, the Thirteenth Circuit Court of Appeals erred in following the Sixth Circuit and going against the vast majority of district and bankruptcy courts, which have held that substantial contribution administrative expenses are not allowed in chapter 7 proceedings.

C. Congress intended to prohibit a court from allowing an administrative expense for a substantial contribution by a creditor in a chapter 7 case.

The legislative history to section 503(b)(3)(D) depicts Congress' intent to purposely limit the scope of section 503(b)(3)(D) as to exclude chapter 7. *See In re Connolly N. Am., LLC*, 802 F.3d at 821-22 (O'Malley, J., dissenting). In the earliest drafts of the Bankruptcy Act, Congress explicitly included chapter 9 and 11 in section 503(b), but not chapter 7. *Id*. at 822. Senate Bill 236, one of the earliest versions of the Bankruptcy Act, provided administrative expense claims in chapter 9 and 11 proceedings. *Id.* at 821-22. Additionally, House Bills provided for substantial contributions as administrative expenses in chapter 9 and chapter 11 proceedings, but did not make mention to a chapter 7 proceeding. *Id*. at 822. For example, "House Bill 6, adopting the modern structure of section 503(b)… describe[d] substantial contributions as administrative expenses in Chapter 9 and 11, but not in Chapter 7." *Id*. The legislative history contains nothing that indicates that Congress believed that substantial contribution claims in chapter 7 cases should be allowed. *Id*. at 824.

The legislative history of section 503(b)(3)(D) also indicates that "[section 503(b)(3)(D] was meant to reimburse those efforts that directly benefited the reorganization process." *See Mosier v. Kupetz* (*In re United Educ. & Software*), 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005). Considering the intent of the drafters, "[t]he proper interpretation of section 503(b)(3)(D) is that it does not authorize administrative priority for expenses incurred in a chapter 7 case." *Id.*

It is well established in bankruptcy cases that priority claims must be strictly construed. *See In re Health Trio, Inc.*, 584 B.R. at 349. In other words, since a debtor's limited resources will be distributed equally from the bankruptcy estate among creditors, statutory priorities should be construed narrowly. *See, e.g., Suplee v. Bethlehem Steel Corp.* (*In re Bethlehem Steel Corp.*), 479 F.3d 167, 172 (2d Cir. 2007), *Trustees of the Amalgamated Insurance Fund v. McFarlin's, Inc.,* 789 F.2d 98 (2d Cir.1986). Section 503 states that administrative expense "priorities should be narrowly construed to maximize the value of the estate preserved for the benefit of all creditors." *See In re Fontainebleau Las Vegas Holdings, LLC*, 574 B.R. 895, 903 (Bankr. S.D. Fla. 2017). The Thirteenth Circuit Court of Appeals in our case even acknowledged the desire and appeal of limiting administrative expenses to cases under chapter 9 and 11. R. at 18. The court referenced the dissenting opinion which laid out the argument that an interpretation that limits substantial contribution administrative expenses to cases under chapters 9 and 11, "is consistent with the axiom that the provisions of section 503(b) should be strictly construed because of the overarching goal of keeping administrative expenses at a minimum, thereby preserving the estate for the benefit of all creditors." R. at 18.

As determined by the majority view of courts that have addressed this issue and as shown by the holding in *Hackney*, Congress chose not to provide an administrative expense for making

a substantial contribution in a chapter 7 case, as opposed to cases under chapter 9 and 11. *In re Hackney*, 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006) (holding that a bank could not receive administrative expense treatment on grounds that it made a substantial contribution to debtor's estate). The provision in section 503(b)(3)(D) expressively allows an administrative expense for a creditor making a substantial contribution in a chapter 9 or chapter 11 case, but not extending that to a chapter 7 case shows the congressional intent not to extend administrative expenses to a creditor in a chapter 7 case. *See In re Connolly N. Am.*, 802 F.3d at 815. "Congress clearly knew how to create an administrative expense claim for a substantial benefit in chapters 9 and 11, it could have done the same for chapter 7." *See, e.g., In re Hackney*, 351 B.R. at 201. It did not. In that Congress "says in a statute what it means and means in a statute what it says," this decision by Congress to not create a substantial contribution administrative expense for chapter 7 cases, as it did for chapter 9 and 11 cases, should be followed. *Id.*

Additionally, Congress used the term "including" in some places in the Bankruptcy Code, but not in others. *In re Connolly N. Am., LLC*, 802 F.3d at 821 (O'Malley, J., dissenting). Congress' choice to use the word "including" in section 503(b), but not to use "including" in section 503(b)(3), implies that the list of "actual, necessary expenses" that are in that provision are exclusive. *Id*. Also, "Congress used "including" for the list of "actual, necessary costs and expenses of preserving the estate" in section 503(b)(1)(A), but conspicuously chose not to include similar language in section 503(b)(3)." *Id*. Thus, "Congress's failure to include chapter 7 in section 503(b)(3)(D) seems to be far more indicative of its intent" than reading into Congress' use of "including" in section 503(b). *Id*. at 824.

Overall, the conclusion reached by the Thirteenth Circuit Court of Appeals disregards the legislative history and congressional intent of section 503(b)(3)(D). Congress did not intend for section 503(b) to cover substantial contribution administrative expenses in chapter 7 proceedings.

CONCLUSION

The Thirteenth Circuit Court of Appeals wrongly affirmed the lower court's rulings on the two issues. First, prior case law and policy considerations support the position that passive retention of property of the estate violates the automatic stay. Here, section 362(a)(3) was violated when Weinberg passively retained possession of the snow plow trucks that he repossessed from the Debtor prior to the petition date. Second, courts are precluded from allowing an administrative expense for making a substantial contribution in a chapter 7 case. The plain language of section 503(b)(3)(D), along with its legislative history and congressional intent, reveal that Congress purposely limited the scope of section 503(b)(3)(D). Weinberg is not allowed a substantial contribution administrative expense.

Team P. 53
Counsel of Record

APPENDIX A

11 U.S.C. § 362(a)(3)

Automatic Stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

APPENDIX B

11 U.S.C. § 362(d)(1)

Automatic Stay

(d) On request of a party in interest and after notice and a hearing, the court shall grant relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay—

(1) for cause, including the lack of adequate protection of an interest in property of such party in interest;

APPENDIX C

11 U.S.C. § 362(k)(1)

Automatic Stay

(1) Except as provided in paragraph (2), an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages.

APPENDIX D

11 U.S.C. § 541(a)(1)

Property of the Estate

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

APPENDIX E

11 U.S.C. § 542(a)

Turnover of Property to the Estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

APPENDIX F

11 U.S.C. § 503(b)(1)(A)

Allowance of Administrative Expenses

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)(A) the actual, necessary costs and expenses of preserving the estate including—

(1)(A)(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(1)(A)(ii) [Omitted]

APPENDIX G

11 U.S.C. § 503(b)(3)

Allowance of Administrative Expenses

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) [Omitted]

(F) [Omitted]